Largan Precision

Core weakness outweighs progress in AI optics

Equities

Taiwan

Electric Components & Equipment

12-month rating	**Sell**
12m price target	**NT$5,000.00**
Price (08 Oct 2026)	**NT$6,660**

RIC: 3008.TW **BBG:** 3008 TT

Trading data and key metrics

52-wk range	NT$7,810.00-2,025.00
Market cap.	NT$875b/US$27.4b
Shares o/s	131m (ORD)
Free float	70%
Avg. daily volume ('000)	2,379
Avg. daily value (m)	NT$13,134.2
Common s/h equity (12/26E)	NT$199b
P/BV (12/26E)	4.4x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	188.21	160.04	-15	184.91
12/27E	214.00	180.00	-16	204.02
12/28E	250.66	220.00	-12	238.78

Randy Abrams
Analyst
randy.abrams@ubs.com
+886-2-8722 7338

Irene Chang
Associate Analyst
irene.chang@ubs.com
+886-2-8722 7280

CPO progress is more tangible but substantial success is already priced in

We maintain Sell and our NT$5,000 target price as erosion in the core smartphone business outweighs CPO progress. The Q326 call confirmed that Largan's fiber array has passed customer qualification although its customer qualified another vendor's prism micro-lens assembly (PMLA) that Largan would now buy in. If Largan qualifies the full FAU plus carrier assembly for 2H27, content rises but with more pass-through cost and less margin upside. We roll our valuation to 2028E, the first full year of CPO production, though 25% below the NT$6,660 close on October 8.

Full FAU assembly would lift content, but with more pass-through

We believe Largan's FA customer is one of two module suppliers on NVIDIA's 2H27 program, which we estimate could reach 40% share. The program is still subject to successful yield ramp and could move to metalens in 2028, which would reopen supplier qualification. Assembling the full FAU could lift Largan's ASP to US$125-150 leveraging its precision alignment and automation but the PMLA, V-groove and carrier parts would be pass through that cuts into margin leverage. We expand our FAU TAM analysis (Figure 9) with FAU market in 2028/30 expanding to 12.3mn/35.6mn units, with Largan base case set at 25% of the TAM.

Core smartphone business stays soft into 2027

Q326 sales of NT$15.7bn, +15% QoQ/-11% YoY missedUBSe/Street +36%/+33% on weaker flagship smartphone demand. GMs fell 7.2ppts QoQ to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (+1% YoY vs. -11% YoY). We cut 2027 from NT$77bn to NT $67bn, before a recovery to NT$79bn in 2028 with the next periscope upgrade. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass through in 2028 pricing.

Maintain Sell and our NT$5,000 target

We cut 2026E/27E EPS by 14%/16% to NT$160/NT$180 and introduce 2028E EPS of NT$220 for the core smartphone business. We value the lens business at NT$3,300 (15x 2028E ex-CPO EPS of NT$220, the middle of Largan's 13–18x historical range) and CPO option at NT$1,700 or US$7bn (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US $1.85bn FAU market at US$150 per unit and a 50% gross margin. That credits it with yields and margins it still needs to prove in a quarter when yields and energy costs cut 7.2ppts from its lens margin. At ~NT$6,660, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	48,842	59,458	61,148	61,550	67,438	79,464	78,546	81,569
EBIT (UBS)	17,807	24,033	23,558	21,139	24,150	30,110	29,487	30,648
Net earnings (UBS)	18,047	22,480	23,613	20,953	23,567	28,805	28,397	29,473
EPS (UBS, diluted) (NT$)	135.22	168.43	176.92	160.04	180.00	220.00	216.89	225.11
DPS (net) (NT$)	85.50	67.50	97.50	80.00	81.97	90.34	110.41	108.85
Net (debt) / cash	111,655	117,781	122,309	109,131	120,267	127,842	144,348	160,697

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	36.5	40.4	38.5	34.3	35.8	37.9	37.5	37.6
ROIC (EBIT) %	39.3	46.2	40.9	30.3	30.1	35.1	33.1	35.3
EV/EBITDA (UBS core) x	7.7	7.1	6.0	24.7	21.7	18.1	17.7	16.6
P/E (UBS, diluted) x	16.2	15.1	13.3	41.6	37.0	30.3	30.7	29.6
Equity FCF (UBS) yield %	2.0	4.3	3.0	2.1	2.5	2.2	3.6	3.5
Dividend yield (net) %	3.9	2.7	4.1	1.2	1.2	1.4	1.7	1.6

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 6,660.00 on 12-Oct-2026 06:29:19 CST

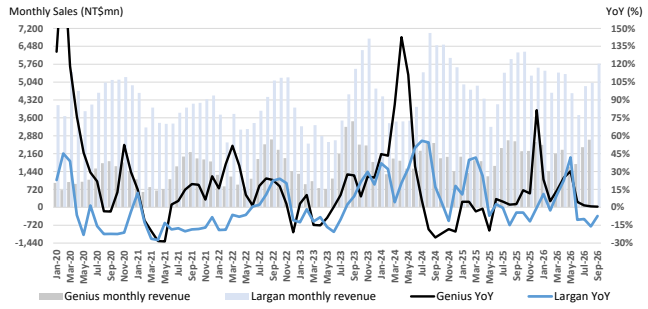
This report has been prepared by UBS Securities Pte. Ltd., Taipei Branch. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 13.**

Core smartphone lens seeing weakness with declining margins

Q326 sales was reported light at NT$15.7bn, +15% QoQ missing UBSe/Street +36%/ +33% amid weaker flagship smartphone demand. GMs fell 720bp to 42.2%, lowest in 13 years on renewable energy costs and low variable-aperture yields, dropping OpM to 17 year lows at 30.3% and EPS to NT$39.6, below UBS/street NT$51.50/NT$49.69. Renewable-energy costs are structural under Largan's long-term power commitments and rise with Apple's share of the mix; with 2027 pricing set, pass-through is more likely in 2028.

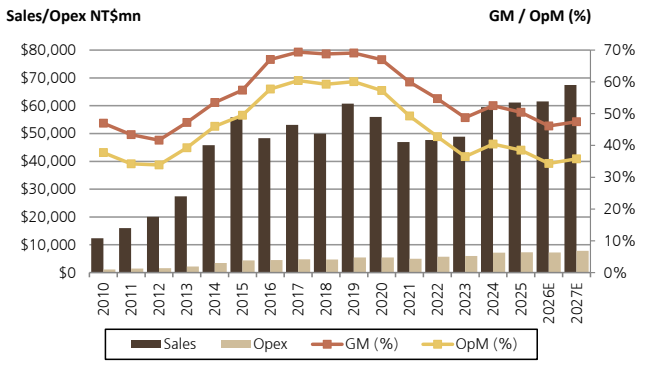
We cut Q4 to NT$16.7bn +7% QoQ, 11% below consensus as its customer trimmed orders after a pricier iPhone 18 launch and possible lag to Genius which is picking up periscope share and outgrew in Q3 (flat vs. -11% YoY). October revenue should be flat MoM and November lower as the key customer has shortened its forecast after cutting flagship orders in September. The spring-2027 model starts shipping in October but will not offset the flagship decline.

Figure 1: Genius outpacing Largan in recent months



Source: Company data

Figure 2: Largan margins dropping in recent years



Source: Company data, UBS estimates

We cut 2026E/27E revenue 9%/13% to NT$61.6bn/NT$67.4bn and EPS 14%/16% to NT$163/NT$180, and introduce 2028E revenue of NT$79.5bn, +18% YoY for the new smartphone lens upgrade, taking EPS to NT$220. Our estimates exclude CPO, which we value separately under base, bull and bear scenarios. Including our base case, 2008E EPS would be NT$255, 6% above the NT$240 consensus which likely includes some CPO. We see GM recovering to 47.5%/48.9% in 2027-28 as yields improve and energy costs pass-through in 2028 pricing. With a still a range of outcomes on 2028 CPO, we keep it in our valuation as a scenario for our upside/downside/base cases.

Figure 3: UBS vs. VA Consensus Q126A-Q426E and 2025A-28E

	Q126	Q226	Q326E			Q426E		
(NT$m)	Actual	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	15,544	13,665	15,651	18,566	18,147	16,690	20,094	16,173
- QoQ / YoY	-9.7%	-12.1%	14.5%	35.9%	32.8%	6.6%	28.4%	3.3%
Gross profit	7,680	6,753	6,607	9,242	8,968	7,346	10,044	6,980
- Gross margin	49.4%	49.4%	42.2%	49.8%	49.4%	44.0%	50.0%	43.2%
Operating profit	5,812	5,148	4,735	7,144	6,819	5,443	7,833	5,105
- OP margin	37.4%	37.7%	30.3%	38.5%	37.6%	32.6%	39.0%	31.6%
Non-op profit	1,476	951	1,357	1,027	1,071	1,064	1,064	1,477
Pre-tax profit	7,288	6,099	6,092	8,171	7,889	6,507	8,897	6,582
Tax	-1,112	-1,373	-853	-1,385	-1,250	-1,041	-1,499	-1,306
- Tax rate	15.3%	22.5%	14.0%	17.0%	15.8%	16.0%	16.9%	19.8%
Net profit	6,123	4,670	5,182	6,736	6,614	5,409	7,348	5,275
EPS (NT$)	46.63	35.70	39.62	51.50	49.69	41.36	56.18	40.04

2025	2026E			2027E			2028E		
Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
61,148	61,550	67,869	61,033	67,438	77,189	68,359	79,464	83,044	115,261
2.8%	0.7%	11.0%	-0.2%	9.6%	13.7%	12.0%	17.8%	7.6%	68.6%
30,837	28,386	33,718	28,019	32,008	38,405	30,319	38,823	42,004	53,520
50.4%	46.1%	49.7%	45.9%	47.5%	49.8%	44.4%	48.9%	50.6%	46.4%
23,558	21,139	25,937	20,800	24,150	29,796	21,482	30,110	34,945	39,917
38.5%	34.3%	38.2%	34.1%	35.8%	38.6%	31.4%	37.9%	42.1%	34.6%
2,342	4,847	4,518	5,261	4,467	4,467	4,734	4,595	4,595	4,937
25,900	25,986	30,455	26,061	28,618	34,263	26,543	34,705	39,540	44,854
-4,340	-4,379	-5,369	-4,763	-5,050	-6,244	-5,150	-5,900	-6,722	-8,572
16.8%	16.9%	17.6%	18.3%	17.6%	18.2%	19.4%	17%	17%	19%
21,275	21,385	24,877	21,298	23,567	28,019	21,414	28,805	32,818	36,282
159.41	163.33	190.00	161.25	180.00	214.00	161.64	220.00	250.66	275.28

Source: Company data, Visible Alpha, UBS estimates. Note: EPS based on reported and may differ with cover page diluted EPS.

CPO fiber array qualified, but rising pass-through as it upgrades to FAU production

Largan's fiber array (FA) has passed qualification with a volume customer, and management expects mass-production capacity by mid-2027 in a newly completed fab dedicated to FA/FAU, using in-house equipment. The company's next step is to produce the full detachable FAU mounted on a carrier, a board with three alignment beams that sits on the optical engine's receptor. Largan can build FAUs now and says the customer

would prefer it to supply the full assembly, but qualification is pending with the customer preferring FAU and carrier sampled separately.

Even as its potential to supply the full FAU improve, Largan will buy in most of the content. The customer has qualified another PMLA vendor and prefers semiconductor-made optics; V-grooves and carrier beams and boards are outsourced and the customer does not want Largan to make MT ferrules. Management described its role as closer to a contractor and said margins hinge on yields, as the FA carries a high ASP but also a large bill of materials. Supplying the complete FAU could raise billed content, but a larger purchased bill of materials also dilutes the relationship between revenue and value added. Our full-FAU ASP assumption requires Largan to capture that invoice scope.

Next year's product is grating-coupled and works for both CPO and NPO while edge-coupled designs are being explored with the customer. The current product does not go directly to end customers, but management expects to work directly with end customers on next-generation designs (likely 2028) as it progresses toward multi-row FAs.

To ramp production, Largan has bought several land parcels and will build new fabs from scratch, with construction finishing around 2030. It may outsource some capacity in the interim and said it cannot yet be sure capacity will meet demand.

Annual FAU TAM reaches US$1.85bn in 2028 and US$4.5bn in 2030 in our base case

We update our FAU (fiber array unit) TAM factoring CPO/NPO penetration into AI networking switches, NVIDIA multi-rack systems, scale-up on compute and switch boards, and non-NVIDIA accelerators. We assume one passive FAU assembly connecting a fiber array to a photonic engine with one unit per optical engine.

We assume one FAU per optical engine and 32 per switch ASIC in our base case, matching NVIDIA's 32x3.2T engines on its 102.4T Spectrum-X package. Broadcom's 102.4Tb/s Davisson uses 16 engines at 6.4Tb/s, so our bear case assumes and even mix of these two designs (24 per ASIC). We note that higher switch bandwidth does not automatically increase FAU count if engine bandwidth rises at the same rate. Our 2030 assumption maintains the 32 FAUs per switch based on bandwidth rising to 204.8Tb/s ASICs using 6.4Tb/s optical engines.

Figure 4: UBS scenario based on 32 FAUs per switch although switches to date carry a range of specifications

	TH5 Bailly	TH6 Davisson	Quantum-X Q3450	Spectrum-X SN6810	Spectrum-X SN6800
Year of Introduction	**2023**	**H225**	**H225**	**H226**	**H226**
Switch ASIC	Tomahawk 5	Tomahawk 6	Quantum-3	Spectrum 6	Spectrum 6
Bandwidth per Switch box	51.2T	102.4T	115.2T	102.4T	409.6T
Switch ASICs per box	1	1	4	1	4
OE bandwidth (Tb/s each way)	6.4T	6.4T	1.6T	3.2T	3.2T
Optical engines per ASIC	8	16	18	32	32
FAU per Engine	1	1	1	1	1
FAU per Switch	**8**	**16**	**72**	**32**	**128**

Source: Company Data, UBS

Our base case for the FAU market sums up 4 opportunities for CPO/NPO attach:

1. Scale-out and scale-across switches

We estimate annual switch ASIC shipments x CPO + NPO penetration x optical engines per ASIC x FAUs per engine. In 2028, 25% CPO/NPO penetration or 1.0m 102.4T switch ASICs at 32 FAUs each produces 8.0m FAUs. In 2030, 55% of 1.1mn 204.8T switch ASICs at 32 FAUs drives a market size of 19.4mn FAUs.

Figure 5: Scale-out/scale-across could drive 8.0/19.4mn FAUs in 2028/2030

	2028			2030			Assumption
Scale out/Scale across	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
Switch ASIC shipments (k units)	800	1,000	1,050	880	1,100	1,155	
NPO penetration	3%	5%	7%	8%	10%	12%	Optics on the board beside the ASIC
CPO penetration	10%	20%	25%	35%	45%	55%	Optics inside the switch package.
NPO/CPO switch ASICs (k units)	**104**	**250**	**336**	**378**	**605**	**774**	
Bandwidth per Switch (Tbps)	102.4	102.4	102.4	204.8	204.8	204.8	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs per switch ASIC	24	32	32	24	32	32	NVIDIA: 32 OE per ASIC, Broadcom 16
Scale out/Scale across # of FAUs (mn)	**2.5**	**8.0**	**10.8**	**9.1**	**19.4**	**24.8**	

Source: UBS

2. NVIDIA's multi-rack connections for Rubin Ultra and Feynman

NVIDIA at its 2026 GTC San Jose proposed a multi-rack option to network together 8 Oberon NVL72 racks for the Rubin Ultra generation and 8 Kyber NVL144 racks. Feedback at the time showed possible transceiver or NPO connections for Rubin Ultra and CPO connections for Feynman. Our 2028 base case uses 110,000 racks, 15% multi-rack adoption and 75% CPO/NPO penetration, giving approximately 12,400 connected racks.

For 2030, our rack count falls to 35,000 racks as we assume Kyber would have 4x the number of GPUs, equivalent to 140k Oberon equivalents. We assume the 35,000 racks at 55% multi-rack adoption x 80% CPO/NPO attach gives 15,400 connected racks. We assume about 216 and 576 inter-rack FAUs per rack, respectively, driving a market opportunity of 2.7mn FAUs in 2028 and 8.9mn in 2030.

Figure 6: NVIDIA rack connected pods could drive 2.7mn/8.9mn FAUs in 2028/2030

	2028			2030			Assumption
NVIDIA Pod Connected GPUs	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV platform	Oberon / Rubin Ultra			Kyber / Feynman			
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
8-rack pods penetration (%)	10%	15%	20%	40%	55%	70%	
NPO/CPO penetration within pods (%)	50%	75%	80%	65%	80%	95%	Pluggable FAUs excluded from this model
NPO/CPO connected racks (k)	**4.8**	**12.4**	**20.0**	**7.8**	**15.4**	**26.6**	
GPUs per rack	72	72	72	144	144	144	
Switches per rack	72	72	72	144	144	144	72 ASICs in Oberon, 144 per Kyber
Optical engine (Tb) bandwidth	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs attached per switch	2.5	3.0	4.0	2.5	4.0	4.5	3.2T OE in 2028; 6.4T in 2030 (each way)
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
FAUs per connected racks	**180**	**216**	**288**	**360**	**576**	**648**	
NV scale up # of FAUs (mn)	**0.9**	**2.7**	**5.8**	**2.8**	**8.9**	**17.2**	

Source: UBS. Switch count increases to connect to other racks

3. Initial CPO/NPO optical connections on compute and switch boards by 2030

We include by 2030 CPO native optical connections on compute and switch boards in 5% of racks each adding 1,152 FAUs across the GPUs and switches or 2.0mn FAUs by 2030.

Figure 7: NVIDIA compute board optics could drive 2.0mn FAUs in 2030

	2028			2030			Assumption
NVIDIA Compute Board Optics	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
Optical GPU penetration	0%	0%	0%	3%	5%	15%	CPU-native GPUs
Compute tray FAUs #	0	0	0	144	144	144	36 trays x 16
GPUs per rack	72	72	72	144	144	144	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	0	0	0	720	1,152	1,296	
NV optical GPU # of FAUs (mn)	**0.0**	**0.0**	**0.0**	**0.6**	**2.0**	**7.8**	

Source: UBS.

4. Non NVIDIA scale-up opportunity

Non-NVIDIA scale-up uses accelerator rack shipments x optical attach rate x FAUs per rack, producing about 0.5m units in 2028 and 3.7m in 2030.

Figure 8: ASIC market could drive additional compute board optics could drive 3.7mn FAUs in 2030

	2028			2030			Assumption
Non-NV scale up	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
ASIC rack shipments (k)	43.6	48.5	50.9	76.6	85.1	89.3	*Trainium 4/5/6, MI500, MI600, Jalapeno
Addressable NPO/CPO attach rate (%)	0%	5%	10%	5%	15%	25%	
NPO/CPO connected racks (k)	**0.0**	**2.4**	**5.1**	**3.8**	**12.8**	**22.3**	
Accelerators per rack	72	72	72	72	72	72	Average accelerators per rack
FAUs per accelerator	2.5	3.0	4.0	2.5	4.0	4.5	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
Scale-up per non-NVIDIA accelerator (Tb)	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	180	216	288	180	288	324	
Non-NV # of FAUs (mn)	**0.0**	**0.5**	**1.5**	**0.7**	**3.7**	**7.2**	

Source: UBS

Overall market opportunity: 12.3mn/35.6mn generates a US$1.85bn/US $4.5bn TAM in 2028/2030

We sum four pools: scale-out/scale-across switches, NVIDIA multi-rack pods, CPO native NVIDIA GPUs and non-NVIDIA scale-up. We add 10%/5% for FAUs lost at downstream attach and test and for field spares, driving a market size of in our base case of 12.3mn FAUs in 2028 and 35.6mn in 2030. At US$150/US$125 per FAU, that is a US$1.85bn market in 2028 and US$4.5bn in 2030 (bear/bull US$0.5bn/US$3.5bn in 2028; US $1.4bn/US$9.0bn in 2030). The expansion to 2030 comes from wider optical adoption and greater content in scale-up systems, despite an assumed FAU ASP decline from US $150 to US$125.

Figure 9: Summary of FAU drivers: 12.3mn/35.6mn base case in 2028-2030

	2028			2030		
Summary of FAU drivers	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
Scale out/Scale across # of FAUs (mn)	2.5	8.0	10.8	9.1	19.4	24.8
NV scale up # of FAUs (mn)	0.9	2.7	5.8	2.8	8.9	17.2
NV optical GPU # of FAUs (mn)	0.0	0.0	0.0	0.6	2.0	7.8
Non-NV # of FAUs (mn)	0.0	0.5	1.5	0.7	3.7	7.2
Downstream yield loss and spares	10%	10%	10%	5%	5%	5%
FAUs (mn units)	**3.7**	**12.3**	**19.8**	**13.9**	**35.6**	**59.9**
FAU ASP	$125	$150	$175	$100	$125	$150
Total FAU TAM (US$bn)	**$0.5**	**$1.8**	**$3.5**	**$1.4**	**$4.5**	**$9.0**

Source: UBS

Scenario analysis on Largan's CPO opportunity

Our base case gives Largan the benefit of the doubt for successfully ramping up a full FAU production and capturing 25% of the overall FAU TAM, yielding NT$35 of 2028E EPS, about 16% of our 2028E lens EPS. A 25% share means 3.1mn FAUs in its first full year of production: about 29% of NVIDIA-linked units and roughly three-quarters of the allocation our checks suggest its module partner holds. We book these at the full US $150 FAU price and 50% gross margin, allowing for an early-supply premium even though the optics, V-grooves and carrier parts are bought in. That gives 2028E CPO sales of US$462mn, rising to US$1.1bn and NT$84 of EPS in 2030 on a larger market.

Our bear case (15% share, 45% GM) gives NT$5 of CPO EPS in 2028E and NT$14 in 2030E; our bull case (35% share, 55% GM) gives NT$103 and NT$267. Each 5ppt of share moves 2028E CPO EPS by ~NT$6.9 (~NT$340/share at 49x), and each 5ppt of gross margin by ~NT$4.6 (~NT$225/share). If gross margin were 35% rather than 50%, holding operating expenses at 12% of sales, EPS would fall to approximately NT$21. A next-generation shift in lens or coupling design could also change content and alignment requirements including a potential metalens design which could invite in different suppliers.

Our 2030 base case implies ~8.9mn Largan FAUs a year (21mn in the upside case), though with risks around competition in a crowded field, yields and technology. A shift to semiconductor-made optics or metalens would loosen alignment tolerances and erode the precision premium behind Largan's pitch. The upside lies in direct work with cloud providers on multi-row FAs from 2028, where Largan's multi-layer alignment is most differentiated.

Figure 10: Largan downside/base/upside cases for 2028 and 2030

Largan CPO	2028			2030		
Scenario analysis	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
FAUs (mn units)	3.7	12.3	19.8	13.9	35.6	59.9
FAU ASP	125	150	175	100	125	150
Total FAU TAM (US$mn)	**$461**	**$1,847**	**$3,461**	**$1,389**	**$4,452**	**$8,980**
Largan Sales (US$mn)	**$69.1**	**$461.9**	**$1,211.3**	**$208.3**	**$1,113.1**	**$3,142.8**
Largan share of the TAM (%)	15%	25%	35%	15%	25%	35%
GM %	45%	50%	55%	45%	50%	55%
Pretax %	33%	38%	43%	33%	38%	43%
Pretax income (US$mn)	**$22.8**	**$175.5**	**$520.8**	**$68.7**	**$423.0**	**$1,351.4**
Tax	18%	18%	18%	18%	18%	18%
Net income (US$mn)	**$18.7**	**$143.9**	**$427.1**	**$56.4**	**$346.8**	**$1,108.2**
Net income (NT$mn)	**$589**	**$4,533**	**$13,453**	**$1,776**	**$10,925**	**$34,907**
EPS (NT$)	**$5**	**$35**	**$103**	**$14**	**$84**	**$267**
Shares	130.8	130.8	130.8	130.8	130.8	130.8

Source: UBS

Valuation and investment implications

We roll our valuation forward to 2028E and value Largan on a sum of the parts. We value the lens business at NT$3,300 (15x 2028E EPS, the middle of Largan's 13–18x historical range) and CPO at NT$1,700 (49x our base-case 2028E CPO EPS of NT$35, near the top of optical peers' 14–54x). Our base case gives Largan 25% of a 12.3mn-unit, US$1.85bn FAU market at US$150 per unit and a 50% gross margin. The 49x multiple also assigns a substantial value to a business whose complete assembly still requires qualification and whose margins still need to demonstrate can reach similar levels to its mature smartphone business. At ~NT$6,660 recent share price level, the shares imply ~NT$69 of 2028E CPO EPS, about twice our base case.

Upside risks include faster full-FAU qualification, firm volume commitments from additional customers, stronger lens demand and better yields. Near-term catalysts are the customer's capacity forecast and its visit to the new fab in the coming month. A large forecast or faster FAU plus carrier qualification would be upside risks to our sell.

Figure 11: UBS SOTP valuation for Largan

(NT$)		UBSe			Prior UBS		Upside Case			Downside Case		
	2025	2026	2027	2028	2026	2027	2026	2027	2028	2026	2027	2028
Lens Business ex-CPO												
Sales	$61,148	$61,550	$67,438	$79,464	$67,869	$77,189	$62,166	$70,135	$82,642	$59,704	$64,066	$75,491
YoY Growth	2.8%	0.7%	9.6%	17.8%	11.0%	13.7%	1.7%	12.8%	17.8%	-2.4%	7.3%	17.8%
Gross Profit	**$30,837**	**$28,386**	**$32,008**	**$38,823**	**$33,718**	**$38,405**	**$28,981**	**$34,410**	**$41,699**	**$26,997**	**$29,446**	**$35,750**
GM%	**50.4%**	**46.1%**	**47.5%**	**48.9%**	**49.7%**	**49.8%**	**46.6%**	**49.1%**	**50.5%**	**45.2%**	**46.0%**	**47.4%**
Opex	$7,279	$7,247	$7,857	$8,714	$7,781	$8,609	$7,283	$8,015	$8,888	$7,138	$7,661	$8,496
Op Profit	**$23,558**	**$21,139**	**$24,150**	**$30,110**	**25,937**	**29,796**	**21,697**	**$26,396**	**$32,811**	**19,858**	**$21,785**	**$27,254**
OpM%	**38.5%**	**34.3%**	**35.8%**	**37.9%**	**38.2%**	**38.6%**	**34.9%**	**37.6%**	**39.7%**	**33.3%**	**34.0%**	**36.1%**
Non-Op	$2,342	$4,847	$4,467	$4,595	$4,518	$4,467	$4,847	$4,467	$4,595	$4,847	$4,467	$4,595
Pretax	$25,900	$25,986	$28,618	$34,705	$30,455	$34,263	$26,545	$30,863	$37,405	$24,706	$26,253	$31,849
Tax	($4,340)	($4,379)	($5,050)	($5,900)	($5,369)	($6,244)	($4,473)	($5,447)	($6,601)	($4,163)	($4,633)	($5,621)
Net income	**$21,275**	**$21,385**	**$23,567**	**$28,805**	**$24,877**	**$28,019**	**$21,849**	**$25,416**	**$30,804**	**$20,321**	**$21,620**	**$26,228**
EPS	**$159.41**	**$163.33**	**$180.00**	**$220.00**	**$190.00**	**$214.00**	**$166.88**	**$194.12**	**$235.28**	**$155.20**	**$165.13**	**$200.32**
Shares	133	131	131	131	131	131	131	131	131	131	131	131
EPS vs. base case							**-94.1%**	**7.8%**	**6.9%**	**-5.0%**	**-8.3%**	**-8.9%**
Current Price		**$6,660**										
P/E				15		15			16			14
Implied Valuation				**$3,300**		**$3,270**			**$3,670**			**$2,810**
CPO Scenario												
EPS				**$35**		**$35**			**$103**			**$5**
P/E				49		50			52			47
Implied Valuation				**$1,700**		**$1,730**			**$5,300**			**$210**
Total Largan												
Implied Share Price				**$5,000**		**$5,000**			**$8,970**			**$3,020**
Upside/Downside				**-25%**					**35%**			**-55%**

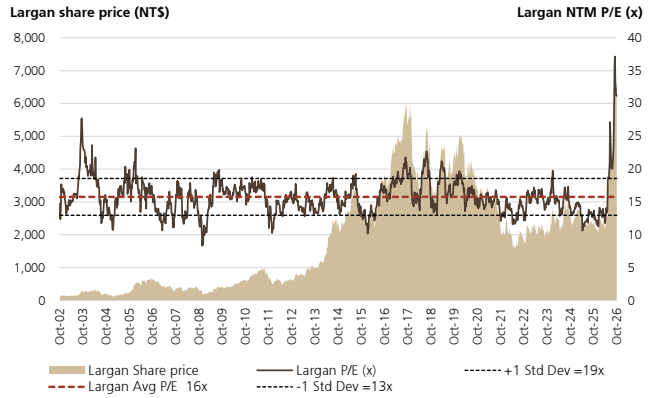
Source: Company data, UBS estimates

Figure 12: Optical component peers average 27x 2028 with a broad range of 12-75x 2028 P/E

Optical Company	Ticker	Market cap (US$m)	Price 11-Oct (LC$)	Price target (LC$)	P/E target (x)	Rating	EPS (LC$) 2025	EPS (LC$) 2026E	EPS (LC$) 2027E	EPS (LC$) 2028E	Earnings growth (%) 2026E	Earnings growth (%) 2027E	Earnings growth (%) 2028E	PE (x) 2026E	PE (x) 2027E	PE (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E	Historical P/E (x) -1 Std Dev	Historical P/E (x) Avg.	Historical P/E (x) +1 Std Dev
Lens																						
Largan	3008.TW	27,378	6,660.0	5,000	23.4	Sell	176.92	188.21	214.00	250.66	4.4	13.7	17.1	35.4	31.1	26.6	12.7	13.7	14.8	13.1	15.9	18.8
Genius	3406.TW	3,741	1,060.0	1,250	16.9	Buy	36.28	38.72	41.47	47.75	6.7	7.1	15.1	27.4	25.6	22.2	15.8	15.6	16.4	1.1	2.3	3.5
Average											**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**
CPO Supply Chain																						
Lumentum	LITE.O	93,344	1,103.4	960	40.4	Neutral	2.12	10.52	23.78	35.81	434.4	160.4	51.7	52.0	56.0	37.9	27.1	36.1	37.9	8.5	19.4	30.3
Corning	GLW.N	137,095	156.7	201	42.1	Buy	2.57	3.34	4.78	7.12	30.6	43.5	47.3	47.7	33.4	22.4	22.9	31.8	41.1	-168.2	32.9	234.0
Coherent	COHR.N	123,129	312.6	-	-	-	4.49	7.42	11.74	16.82	86.0	64.0	42.0	42.1	26.6	18.6	13.5	19.7	23.8	14.1	19.6	25.1
Senko	9069.T	416,040	2,368.0	-	-	-	119.98	140.89	159.70	171.34	19.5	12.8	7.4	16.8	14.8	13.8	10.4	11.3	11.6	9.2	11.6	14.0
TFC	300394.SZ	256,388	235.0	-	-	-	2.02	3.32	5.36	6.88	65.5	60.7	28.5	70.8	43.9	34.2	47.0	47.4	42.1	21.2	33.9	46.5
FOCI	3363.TWO	75,798	667.0	-	-	-	0.85	0.22	13.89	43.01	(66.3)	6684.0	210.2	3,102.3	48.0	15.5	-1.6	39.2	74.6	51.6	115.2	178.8
EZconn	6442.TW	146,044	1,785.0	-	-	-	20.95	62.01	130.00	NULL	206.9	109.6	n.a.	28.8	13.7	n.a.	56.1	63.9	NULL	12.9	23.7	34.5
Himax	HIMX.N	2,320	13.3	-	-	-	0.32	0.52	1.01	1.96	62.3	88.2	93.5	25.5	13.2	6.8	10.5	14.5	26.1	0.6	21.5	42.3
Browave	3163.TWO	65,204	689.0	-	-	-	4.36	9.33	21.17	NULL	n.a.	n.a.	n.a.	73.8	32.5	n.a.	22.2	38.6	NULL	10.1	32.2	54.2
VisEra	6789.TW	153,102	481.0	-	-	-	3.60	6.13	7.45	8.95	70.9	21.5	20.2	78.4	64.6	53.7	10.7	13.3	12.2	31.3	50.4	69.6
Average											**101.1**	**805.0**	**62.6**	**353.8**	**34.7**	**25.4**	**21.9**	**31.6**	**33.7**	**-0.9**	**36.0**	**72.9**
Optical Average											**76.4**	**606.4**	**50.7**	**325.1**	**35.5**	**27.2**	**19.9**	**27.5**	**28.6**	**1.2**	**30.5**	**59.8**

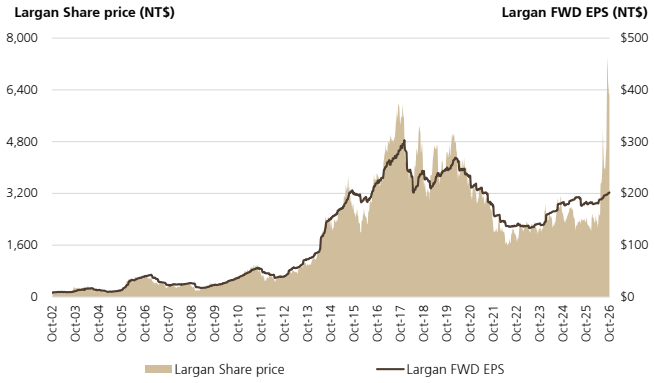
Source: UBSe, Eikon

Figure 13: Share price rally has re-rated Largan well above its historical range



Source: LSEG Workspace

Figure 14: Largan's share price has run well ahead of forward EPS as investors price in CPO



Source: LSEG Workspace

Figure 15: UBS P&L for Largan - mild growth at lower margins in recent years

Ticker		3008.TW	Current Price (NT$)			$6,660
Shares outstanding (mn)		130.8	Mkt cap (NT$ mn)			$871,115
Year	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**
Revenues (NT$ mn)	**$47,675**	**$48,842**	**$59,458**	**$61,148**	**$61,550**	**$67,438**
YoY Growth (%)		**2.4%**	**21.7%**	**2.8%**	**0.7%**	**9.6%**
Gross profit (NT$mn)	$26,083	$23,794	$31,209	$30,837	$28,386	$32,008
GM (%)	**54.7%**	**48.7%**	**52.5%**	**50.4%**	**46.1%**	**47.5%**
Operating profit (NT$mn)	$20,384	$17,807	$24,033	$23,558	$21,139	$24,150
OPM (%)	**42.8%**	**36.5%**	**40.4%**	**38.5%**	**34.3%**	**35.8%**
Net profit (NT$ mn)	$22,625	$17,902	$25,915	$21,275	$21,385	$23,567
EPS (NT$)	**$169.52**	**$134.13**	**$194.17**	**$159.41**	**$163.33**	**$180.00**
EPS growth (%)		-21%	45%	-18%	2%	10%
P/E (x)	**39.3**	**49.7**	**34.3**	**41.8**	**40.8**	**37.0**
Dividend yield (%)	2%	1.1%	1.2%	1.3%	2.0%	1.2%
P/B (x)	**5.7**	**5.4**	**4.8**	**4.7**	**4.4**	**4.1**
ROE (%)	15%	11%	14%	11%	11%	12%

Quarters	**Q325**	**Q425**	**Q126**	**Q226**	**Q326E**	**Q426E**
Revenues (NT$ mn)	**$17,677**	**$17,219**	**$15,544**	**$13,665**	**$15,651**	**$16,690**
QoQ Growth (%)		**-2.6%**	**-9.7%**	**-12.1%**	**14.5%**	**6.6%**
Gross profit (NT$mn)	$8,352	$8,260	$7,680	$6,753	$6,607	$7,346
GM (%)	**47.2%**	**48.0%**	**49.4%**	**49.4%**	**42.2%**	**44.0%**
Operating profit (NT$mn)	$6,265	$6,329	$5,812	$5,148	$4,735	$5,443
OPM (%)	**35.4%**	**36.8%**	**37.4%**	**37.7%**	**30.3%**	**32.6%**
Net profit (NT$ mn)	$7,080	$6,720	$6,123	$4,670	$5,182	$5,409
EPS (NT$)	**$53.05**	**$50.35**	**$45.88**	**$34.99**	**$39.58**	**$41.32**

Source: Company data, UBS estimates. Note: 2026E EPS based on reported.

Figure 16: UBS Cash Flow Summary - staying positive to invest in CPO

Annual (NT$mn)	2021	2022	2023	2024	2025	2026E	2027E	21-25 Avg
Revenue	$46,962	$47,675	$48,842	$59,458	$61,148	$61,550	$67,438	$52,817
Capital spending	$5,850	$8,256	$8,080	$11,126	$12,338	$11,721	$11,135	$9,130
Capex/revenue (%)	**12%**	**17%**	**17%**	**19%**	**20%**	**19%**	**17%**	**17%**
Dep and amort	$4,650	$5,031	$5,299	$6,038	$7,511	$9,221	$10,460	$5,706
Depr/revenue (%)	**10%**	**11%**	**11%**	**10%**	**12%**	**15%**	**16%**	**11%**
Operating cash flow	$20,878	$44,207	$18,199	$31,579	$26,080	$20,614	$33,003	$28,188
Free cash flow	**$15,028**	**$35,951**	**$10,118**	**$20,453**	**$13,743**	**$8,893**	**$21,868**	**$19,058**

FCF and Dividends	2021	2022	2023	2024	2025	2026E	2027E	21-25 Avg
FCF / share (NT$)	$112	$269	$76	$153	$103	$68	$167	$143
FCF / EV Yield (%)	**2%**	**5%**	**1%**	**3%**	**2%**	**1%**	**3%**	**3%**
FCF Yield (%)	**2%**	**4%**	**1%**	**2%**	**2%**	**1%**	**3%**	**2%**
Dividend/share (NT$)	$91.51	$109.66	$72.50	$81.00	$85.50	$131.95	$81.89	$88.03
Payout rate (%)	**50%**	**79%**	**43%**	**60%**	**44%**	**83%**	**50%**	**55%**
Dividend amount (NT$)	$12,274	$14,636	$9,676	$10,811	$11,412	$17,276	$10,722	$11,762
Pre-Dividend close (NT$)	$3,040.00	$1,990.00	$2,310.00	$3,120.00	$2,260.00	$6,660.00	$6,660.00	
Dividend Yield (%)	**3.0%**	**5.5%**	**3.1%**	**2.6%**	**3.8%**	**2.0%**	**1.2%**	**3.6%**

Source: Company data, UBS estimates

Largan Precision (3008.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**48,842**	**59,458**	**61,148**	**61,550**	*0.7*	**67,438**	*9.6*	**79,464**	**78,546**	**81,569**
Gross profit	23,794	31,209	30,837	28,386	*-7.9*	32,008	*12.8*	38,823	38,398	39,903
EBITDA (UBS)	**23,106**	**30,070**	**31,069**	**30,360**	*-2.3*	**34,610**	*14.0*	**41,028**	**41,108**	**42,938**
Depreciation & amortisation	(5,299)	(6,038)	(7,511)	(9,221)	*-22.8*	(10,460)	*-13.4*	(10,918)	(11,621)	(12,290)
EBIT (UBS)	**17,807**	**24,033**	**23,558**	**21,139**	*-10.3*	**24,150**	*14.2*	**30,110**	**29,487**	**30,648**
Associates & investment income	212	0	3	12	*352.1*	11	*-7.1*	11	11	11
Other non-operating income	294	303	419	458	*9.5*	200	*-56.4*	200	200	200
Net interest	3,934	4,404	4,259	3,946	*-7.3*	4,256	*7.9*	4,384	4,516	4,651
Exceptionals (incl goodwill)	(145)	3,435	(2,338)	432	*-*	0	*-*	0	0	0
Pre-tax profit	**22,102**	**32,174**	**25,900**	**25,986**	*0.3*	**28,618**	*10.1*	**34,705**	**34,213**	**35,510**
Tax	(4,200)	(5,963)	(4,340)	(4,379)	*-0.9*	(5,050)	*-15.3*	(5,900)	(5,816)	(6,037)
Profit after tax	**17,902**	**26,211**	**21,560**	**21,607**	*0.2*	**23,567**	*9.1*	**28,805**	**28,397**	**29,473**
Preference dividends	0	0	0	0	*-*	0	*-*	0	0	0
Minorities	0	(296)	(285)	(222)	*22.1*	0	*-*	0	0	0
Extraordinary items	0	0	0	0	*-*	0	*-*	0	0	0
Net earnings (local GAAP)	**17,902**	**25,915**	**21,275**	**21,385**	*0.5*	**23,567**	*10.2*	**28,805**	**28,397**	**29,473**
Net earnings (UBS)	**18,047**	**22,480**	**23,613**	**20,953**	*-11.3*	**23,567**	*12.5*	**28,805**	**28,397**	**29,473**
Tax rate (%)	19.0	18.5	16.8	16.9	*0.6*	17.6	*4.7*	17.0	17.0	17.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	135.22	168.43	176.92	160.04	*-9.5*	180.00	*12.5*	220.00	216.89	225.11
EPS (local GAAP, diluted)	134.13	194.17	159.41	163.33	*2.5*	180.00	*10.2*	220.00	216.89	225.11
EPS (UBS, basic)	135.22	168.43	176.92	160.04	*-9.5*	180.00	*12.5*	220.00	216.89	225.11
DPS (net) (NT$)	85.50	67.50	97.50	80.00	*-17.9*	81.97	*2.5*	90.34	110.41	108.85
Cash EPS (UBS, diluted) [1]	174.92	213.67	233.20	230.47	*-1.2*	259.89	*12.8*	303.39	305.65	318.97
Book value per share	1,234.64	1,382.91	1,430.07	1,518.08	*6.2*	1,616.11	*6.5*	1,745.87	1,849.64	1,963.23
Average shares (diluted)	133	133	133	131	*-1.9*	131	*0.0*	131	131	131

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	111,655	117,985	122,309	109,131	*-10.8*	120,267	*10.2*	127,842	144,348	160,697
Other current assets	22,666	27,779	31,977	42,218	*32.0*	45,034	*6.7*	56,368	55,712	57,851
Total current assets	**134,321**	**145,764**	**154,285**	**151,350**	*-1.9*	**165,301**	*9.2*	**184,210**	**200,060**	**218,547**
Net tangible fixed assets	41,135	46,936	51,472	54,428	*5.7*	55,103	*1.2*	54,763	53,191	50,448
Net intangible fixed assets	0	0	0	0	*-*	0	*-*	0	0	0
Investments / other assets	19,682	23,827	15,029	23,254	*54.7*	24,367	*4.8*	24,215	24,225	24,236
Total assets	**195,138**	**216,527**	**220,787**	**229,032**	*3.7*	**244,770**	*6.9*	**263,188**	**277,476**	**293,232**
Trade payables & other ST liabilities	29,517	30,375	29,749	30,078	*1.1*	32,982	*9.7*	34,573	35,276	36,158
Short term debt	0	203	0	0	*-*	0	*-*	0	0	0
Total current liabilities	**29,517**	**30,578**	**29,749**	**30,078**	*1.1*	**32,982**	*9.7*	**34,573**	**35,276**	**36,158**
Long term debt	0	0	0	0	*-*	0	*-*	0	0	0
Other long term liabilities	110	561	171	194	*13.7*	194	*0.0*	31	31	31
Preferred shares	0	0	0	0	*-*	0	*-*	0	0	0
Total liabilities (incl pref shares)	**29,627**	**31,139**	**29,919**	**30,272**	*1.2*	**33,176**	*9.6*	**34,604**	**35,307**	**36,189**
Common s/h equity	**165,510**	**185,388**	**190,868**	**198,760**	*4.1*	**211,594**	*6.5*	**228,584**	**242,170**	**257,042**
Minority interests	0	0	0	0	*-*	0	*-*	0	0	0
Total liabilities & equity	**195,138**	**216,527**	**220,787**	**229,032**	*3.7*	**244,770**	*6.9*	**263,188**	**277,476**	**293,232**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	17,902	25,915	21,275	21,385	*0.5*	23,567	*10.2*	28,805	28,397	29,473
Depreciation & amortisation	5,299	6,038	7,511	9,221	*22.8*	10,460	*13.4*	10,918	11,621	12,290
Net change in working capital	(8,990)	(6,633)	(7,328)	(1,082)	*85.2*	(6,064)	*NM*	(9,743)	1,359	(1,256)
Other operating	(212)	295	282	210	*-25.5*	5,040	*NM*	(11)	(11)	(11)
Operating cash flow	**13,999**	**25,615**	**21,740**	**29,735**	*36.8*	**33,003**	*11.0*	**29,968**	**41,366**	**40,496**
Tangible capital expenditure	(8,080)	(11,126)	(12,338)	(11,721)	*5.0*	(11,135)	*5.0*	(10,578)	(10,049)	(9,547)
Intangible capital expenditure	0	0	0	0	*-*	0	*-*	0	0	0
Net (acquisitions) & disposals	(2,111)	(13)	(1,200)	962	*-*	0	*-*	0	0	0
Other investing	(959)	(4,927)	4,302	(965)	*-*	0	*-*	0	0	0
Investing cash flow	**(11,151)**	**(16,066)**	**(9,236)**	**(11,724)**	*-26.9*	**(11,135)**	*5.0*	**(10,578)**	**(10,049)**	**(9,547)**
Equity dividends paid	(9,676)	(10,811)	(11,412)	(17,276)	*-51.4*	(10,732)	*37.9*	(11,816)	(14,811)	(14,601)
Share issues / (buybacks)	0	0	0	0	*-*	0	*-*	0	0	0
Other financing	(34)	1,255	(2,937)	(4,133)	*-40.7*	0	*-*	0	0	0
Change in debt & pref shares	(19)	212	(212)	0	*-*	0	*-*	0	0	0
Financing cash flow	**(9,729)**	**(9,344)**	**(14,561)**	**(21,408)**	*-47.0*	**(10,732)**	*49.9*	**(11,816)**	**(14,811)**	**(14,601)**
Cash flow inc/(dec) in cash	**(6,881)**	**205**	**(2,057)**	**(3,398)**	*-65.2*	**11,136**	*-*	**7,575**	**16,506**	**16,349**
FX / non cash items	6,823	6,125	6,380	(9,780)	*-*	0	*-*	0	0	0
Balance sheet inc/(dec) in cash	**(59)**	**6,330**	**4,324**	**(13,177)**	*-*	**11,136**	*-*	**7,575**	**16,506**	**16,349**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Largan Precision (3008.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	16.4	13.1	14.8	40.8	37.0	30.3	30.7	29.6
P/E (UBS, diluted)	16.2	15.1	13.3	41.6	37.0	30.3	30.7	29.6
P/CEPS	12.6	11.9	10.1	28.9	25.6	22.0	21.8	20.9
Equity FCF (UBS) yield %	2.0	4.3	3.0	2.1	2.5	2.2	3.6	3.5
Dividend yield (net) %	3.9	2.7	4.1	1.2	1.2	1.4	1.7	1.6
P/BV	1.8	1.8	1.6	4.4	4.1	3.8	3.6	3.4
EV/revenues (core)	3.6	3.6	3.1	NM	NM	9.3	9.3	8.7
EV/EBITDA (UBS core)	7.7	7.1	6.0	24.7	21.7	18.1	17.7	16.6
EV/EBIT (core)	10.0	8.9	8.0	35.4	31.1	24.6	24.7	23.2
EV/OpFCF (core)	8.1	7.4	6.3	25.1	22.0	18.0	17.7	16.5
EV/op. invested capital	3.9	4.1	3.3	10.7	9.3	8.6	8.2	8.2

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	294,465	340,820	315,906	874,578	874,578	874,578	874,578	874,578
Net debt (cash)	(111,675)	(114,718)	(120,045)	(115,720)	(114,699)	(124,054)	(136,095)	(152,522)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**182,790**	**226,102**	**195,861**	**758,858**	**759,879**	**750,524**	**738,483**	**722,055**
Non core assets	(4,916)	(12,460)	(8,517)	(9,934)	(9,945)	(9,955)	(9,966)	(9,976)
Core enterprise value	**177,874**	**213,642**	**187,344**	**748,924**	**749,934**	**740,568**	**728,517**	**712,079**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	2.4	21.7	2.8	0.7	9.6	17.8	(1.2)	3.8
EBITDA (UBS)	(9.1)	30.1	3.3	(2.3)	14.0	18.5	0.2	4.5
EBIT (UBS)	(12.6)	35.0	(2.0)	(10.3)	14.2	24.7	(2.1)	3.9
EPS (UBS, diluted)	3.8	24.6	5.0	(9.5)	12.5	22.2	(1.4)	3.8
Net DPS	21.9	(21.1)	44.4	(17.9)	2.5	10.2	22.2	(1.4)

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	48.7	52.5	50.4	46.1	47.5	48.9	48.9	48.9
EBITDA margin	47.3	50.6	50.8	49.3	51.3	51.6	52.3	52.6
EBIT (UBS) margin	36.5	40.4	38.5	34.3	35.8	37.9	37.5	37.6
Net earnings (UBS) margin	37.0	37.8	38.6	34.0	34.9	36.2	36.2	36.1
ROIC (EBIT)	39.3	46.2	40.9	30.3	30.1	35.1	33.1	35.3
ROIC post tax	31.8	36.6	34.6	25.1	24.8	29.1	27.5	29.3
ROE (UBS)	11.3	12.8	12.6	10.8	11.5	13.1	12.1	11.8

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(4.8)	(3.9)	(3.9)	(3.6)	(3.5)	(3.1)	(3.5)	(3.7)
Net debt / total equity %	(67.5)	(63.5)	(64.1)	(54.9)	(56.8)	(55.9)	(59.6)	(62.5)
Net debt / (net debt + total equity) %	NM	NM	NM	NM	NM	NM	NM	NM
Net debt/EV %	(61.1)	(50.7)	(61.3)	(15.2)	(15.1)	(16.5)	(18.4)	(21.1)
Capex / depreciation %	152.5	184.3	164.3	127.1	106.5	96.9	86.5	77.7
Capex / revenue %	16.5	18.7	20.2	19.0	16.5	13.3	12.8	11.7
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	1.6	2.5	1.8	2.0	2.2	2.4	2.0	2.1
Div. payout ratio (UBS) %	63.2	40.1	55.1	50.0	45.5	41.1	50.9	48.4

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	48,842	59,458	61,148	61,550	67,438	79,464	78,546	81,569
Total	**48,842**	**59,458**	**61,148**	**61,550**	**67,438**	**79,464**	**78,546**	**81,569**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	17,807	24,033	23,558	21,139	24,150	30,110	29,487	30,648
Total	**17,807**	**24,033**	**23,558**	**21,139**	**24,150**	**30,110**	**29,487**	**30,648**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	-24.9%
Forecast dividend yield	1.2%
Forecast stock return	-23.7%
Market return assumption	6.3%
Forecast excess return	-30.0%

Company Description

Founded in 1987, Largan Precision (Largan) is one of the world's leading manufacturers of lenses used in cameras and IT products. It specialises in plastic/hybrid lenses and, to a lesser extent, glass lenses and modules. In 2022, 20MP+ camera lenses were 10-20% of Largan's shipment mix, 10MP lenses were 50-60%, 8MP lenses were 0-10% and other lenses were 30-40%.

Valuation Method and Risk Statement

Our price target is based on SOTP valuation on the CPO opportunity and traditional lens business.
We think Largan's downside risks include: 1) ongoing pricing pressure from smartphone OEM clients and increasingly intense competition among lens suppliers; and 2) a slower-than-expected smartphone demand recovery in China, and 3) CPO commercial success below the market's elevated expectations.
We believe the key upside risk is a faster-than-expected CPO qualification process at Largan. In addition, if the company demonstrates exceptionally efficient and highly accurate automation capabilities, it could support greater market share gains within the industry than we currently anticipate.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Largan Precision

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	2
5. What's driving the difference?	We expect downside to consensus in 2026 due to slower smartphone sales through August. We indicate things getting better for the stock in the past 3-6 months on the smartphone traction.
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	2
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Negative Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

This document has been prepared by UBS Securities Pte. Ltd., Taipei Branch, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

For information on the ways in which UBS manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures. Unless otherwise indicated, information and data in this report are based on company disclosures including but not limited to annual, interim, quarterly reports and other company announcements. The figures contained in performance charts refer to the past; past performance is not a reliable indicator of future results. Additional information will be made available upon request. UBS Securities Co. Limited is licensed to conduct securities investment consultancy businesses by the China Securities Regulatory Commission. UBS acts or may act as principal in the debt securities (or in related derivatives) that may be the subject of this report. This recommendation was finalized on: 11 October 2026 10:46 PM GMT. UBS has designated certain UBS Global Research department members as Derivatives Research Analysts where those department members publish research principally on the analysis of the price or market for a derivative, and provide information reasonably sufficient upon which to base a decision to enter into a derivatives transaction. Where Derivatives Research Analysts co-author research reports with Equity Research Analysts or Economists, the Derivatives Research Analyst is responsible for the derivatives investment views, forecasts, and/or recommendations. **Quantitative Research Review:** UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For the latest responses, please see the Quantitative Research Review Addendum at the back of this report, where applicable. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research team on the email above.

Analyst Certification:
Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that with respect to each security or issuer that the analyst covered in this report: (1) all of the views expressed accurately reflect his or her personal views about those securities or issuers and were prepared in an independent manner, including with respect to UBS, and (2) no part of his or her compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

Research analysts contributing to this report who are employed by any non-US affiliate of UBS Securities LLC are not registered/ qualified as research analysts with FINRA. Such analysts may not be associated persons of UBS Securities LLC and therefore are not subject to the FINRA restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. The name of each affiliate and analyst employed by that affiliate contributing to this report, if any, follows.

UBS Securities Pte. Ltd., Taipei Branch: Irene Chang, Randy Abrams.

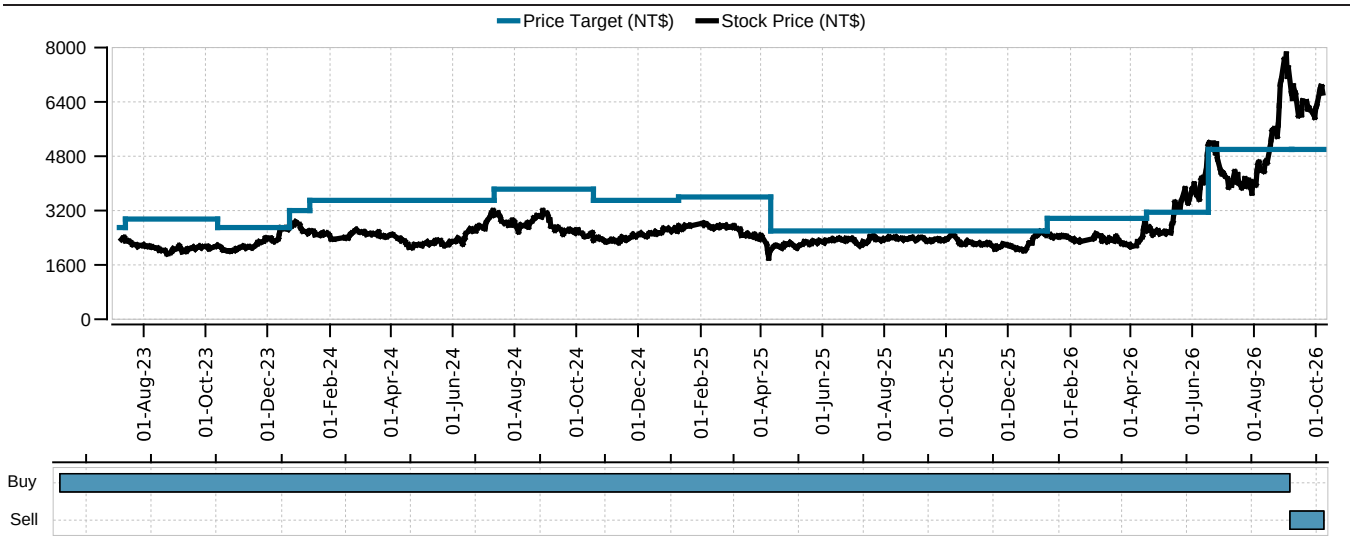
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Largan Precision[28]	3008.TW	Sell	NT$6,660	08 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including information on valuation and risk, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

Largan Precision (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-07	2340.00	2700.00	Buy
2023-07-13	2405.00	2950.00	Buy
2023-10-12	2150.00	2700.00	Buy
2023-12-22	2650.00	3200.00	Buy
2024-01-11	2550.00	3500.00	Buy
2024-07-11	3200.00	3830.00	Buy
2024-10-17	2545.00	3500.00	Buy
2025-01-09	2595.00	3600.00	Buy
2025-04-10	1980.00	2600.00	Buy
2026-01-08	2475.00	2970.00	Buy
2026-04-16	2820.00	3150.00	Buy
2026-06-16	4860.00	5000.00	Buy
2026-09-06	7400.00	5000.00	Sell

Source: UBS Global Research; LSEG Eikon as of 08-Oct-2026. All prices as of local market close. Ratings as of date shown.

The Disclaimer relevant to Global Wealth Management clients follows the Global Research Disclaimer.

UBS Global Research Disclaimer

This document has been prepared by UBS Securities Pte. Ltd., Taipei Branch, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

Any opinions expressed in this document may change without notice and are only current as of the date of publication. Different areas, groups, and personnel within UBS may produce and distribute separate research products independently of each other. For example, research publications from **UBS CIO** are produced by UBS Global Wealth Management. **UBS Global Research** is produced by UBS Investment Bank. Research methodologies and rating systems of each separate research organization may differ, for example, in terms of investment recommendations, investment horizon, model assumptions, and valuation methods. As a consequence, except for certain economic forecasts (for which UBS CIO and UBS Global Research may collaborate), investment recommendations, ratings, price targets, and valuations provided by each of the separate research organizations may be different, or inconsistent. You should refer to each relevant research product for the details as to their methodologies and rating system. Not all clients may have access to all products from every organization. Each research product is subject to the policies and procedures of the organization that produces it.

This document is provided solely to recipients who are expressly authorized by UBS to receive it. If you are not so authorized you must immediately destroy the document.

UBS Global Research is provided to our clients through UBS Neo, and in certain instances, UBS.com and any other system or distribution method specifically identified in one or more communications distributed through UBS Neo or UBS.com (each a system) as an approved means for distributing UBS Global Research. It may also be made available through third party vendors and distributed by UBS and/or third parties via e-mail or alternative electronic means.

All UBS Global Research is available on UBS Neo. Please contact your UBS sales representative if you wish to discuss your access to UBS Neo. Where UBS Global Research refers to "UBS Evidence Lab Inside" or has made use of data provided by UBS Evidence Lab and you would like to access that data please contact your UBS sales representative. UBS Evidence Lab data is available on UBS Neo. The level and types of services provided by UBS Global Research and UBS Evidence Lab to a client may vary depending upon various factors such as a client's individual preferences as to the frequency and manner of receiving communications, a client's risk profile and investment focus and perspective (e.g., market wide, sector specific, long-term, short-term, etc.), the size and scope of the overall client relationship with UBS Global Research and UBS Evidence Lab and legal and regulatory constraints. UBS HOLT and UBS Pharma Values are offerings of UBS Global Research. HOLT Lens is a corporate performance platform offering that provides an objective accounting-led framework for comparing and valuing companies and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. In particular, HOLT has a variety of warranted prices based on the scenario chosen; please mail UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research, if you are interested in the warranted price on a particular company, again subject to commercial considerations. UBS Pharma Values is an analytical tool that involves the creation of a number of individual product net present value calculations, based on published forecasts of sales for pharmaceuticals, and is available to clients of UBS Global Research; for further details and pricing please contact your UBS Sales representative. For all other specific disclaimers, please see https://www.ubs.com/disclosures.

When you receive UBS Global Research through a system, your access and/or use of such UBS Global Research is subject to this UBS Global Research Disclaimer and to the UBS Neo Platform Use Agreement (the "Neo Terms") together with any other relevant terms of use governing the applicable System.

When you receive UBS Global Research via a third party vendor, e-mail or other electronic means, you agree that use shall be subject to this UBS Global Research Disclaimer, the Neo Terms and where applicable the UBS Investment Bank terms of business (https://www.ubs.com/global/en/investment-bank/regulatory.html) and to UBS's Terms of Use/Disclaimer (https://www.ubs.com/global/en/legalinfo2/disclaimer.html). In addition, you consent to UBS processing your personal data and using cookies in accordance with our Privacy Statement (https://www.ubs.com/global/en/legalinfo2/privacy.html) and cookie notice (https://www.ubs.com/global/en/legal/privacy/users.html).

If you receive UBS Global Research, whether through a System or by any other means, you agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research provided via UBS Global Research or otherwise, and that you shall not extract data from any research or estimates provided to you via UBS Global Research or otherwise, without the prior written consent of UBS. You agree not to use UBS Global Research in any artificial intelligence system, without the prior written consent of UBS.

In certain circumstances you may receive UBS Global Research otherwise than in the capacity of a client of UBS and you understand and agree that under these circumstances (i) the UBS Global Research is provided to you for information purposes only; (ii) for the purposes of receiving it you are not intended to be and will not be treated as a "client" of UBS for any legal or regulatory purpose; (iii) the UBS Global Research must not be relied on or acted upon for any purpose; and (iv) such content is subject to the relevant disclaimers that follow.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is a general communication and is educational in nature; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. The recipient should carefully read this document in its entirety and not draw inferences or conclusions from the rating alone. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, structured derivative products and futures (including OTC derivatives) are not suitable for all investors. Trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "The Characteristics and Risks of Standardized Options." You may read the document at https://www.theocc.com/publications/risks/riskchap1.jsp or ask your salesperson for a copy. Various theoretical explanations of the risks associated with these instruments have been published. Supporting documentation for any claims, comparisons, recommendations, statistics or other technical data will be supplied upon request. Past performance is not necessarily indicative of future results. Transaction costs may be significant in option strategies calling for multiple purchases and sales of options, such as spreads and straddles. Because of the importance of tax considerations to many options transactions, the investor considering options should consult with his/her tax advisor as to how taxes affect the outcome of contemplated options transactions.

Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

UBS notes that no globally accepted framework or definition (legal, regulatory or otherwise) currently exists, nor is there a market consensus as to what constitutes an "ESG" (Environmental, Social or Governance) or an equivalent-label, or as to what precise attributes are required for the Information (as defined below) to be defined as ESG or equivalently-labelled. Any information, data or other content including from a third party source contained, referred to herein or used for whatsoever purpose by UBS or a third party ("Information"), in relation to any actual or potential ESG objective, issue or consideration is not intended to be relied upon for ESG classification, regulatory regime or industry initiative purposes ("ESG Regimes"). Nothing in these materials is intended to convey, suggest or indicate that UBS considers or represents any product, service, person or body mentioned in these materials as meeting or qualifying for any ESG classification, labelling or similar standards that may exist under the ESG Regimes. UBS has not conducted any assessment of compliance with ESG Regimes. Parties are reminded to make their own assessments for these purposes.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the Information.

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a

complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes:

(i) valuation or accounting purposes;

(ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or

(iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS and among its subsidiaries, branches and affiliates. UBS does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For further information on the ways in which UBS Global Research manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS Global Research recommendations, please visit https://www.ubs.com/disclosures.

UBS Global Research will initiate, update and cease coverage solely at the discretion of UBS Global Research Management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. All material information in relation to published research reports, such as valuation methodology, risk statements, underlying assumptions (including sensitivity analysis of those assumptions), ratings history etc. as required by the Market Abuse Regulation, can be found on UBS Neo. Different assumptions could result in materially different results.

UBS Global Research may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by UBS Global Research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms under English law or, if not carried out by UBS in the UK the law of the relevant jurisdiction in which UBS determines it carries out the activity) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Within the past 12 months UBS may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Please note that all transactions conducted by UBS are consistent with sanctions regulations imposed by Switzerland, the European Union, the United Nations, the United Kingdom and the United States, per UBS' global sanctions policy. UBS opinion as to future investment worthiness assumes no new sanctions are imposed.

US persons are prohibited from purchasing or selling securities of certain companies designated as being associated with the Chinese Military in accordance with the amended US Presidential Executive Order 13959.

United Kingdom: This material is distributed by UBS AG, London Branch to persons who are eligible counterparties or professional clients. UBS AG, London Branch is authorised by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. **Europe:** Except as otherwise specified herein, these materials are distributed by UBS Europe SE, a subsidiary of UBS AG, to persons who are eligible counterparties or professional clients (as detailed in the Bundesanstalt fur Finanzdienstleistungsaufsicht (BaFin) Rules and according to MIFID) and are only available to such persons. The information does not apply to, and should not be relied upon by, retail clients. UBS Europe SE is authorised by the European Central Bank (ECB) and regulated by the BaFin and the ECB. **Germany, Luxembourg, the Netherlands, Belgium and Ireland:** Where an analyst of UBS Europe SE has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE. In all cases it is distributed by UBS Europe SE and UBS AG, London Branch. **Turkey:** Distributed by UBS AG, London Branch. No information in this document is provided for the purpose of offering, marketing and sale by any means of any capital market instruments and services in the Republic of Turkey. Therefore, this document may not be considered as an offer made or to be made to residents of the Republic of Turkey. UBS AG, London Branch is not licensed by the Turkish Capital Market Board under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instruments/services may be utilized in connection with providing any capital market services to persons within the Republic of Turkey without the prior approval of the Capital Market Board. However, according to article 15 (d) (ii) of the Decree No. 32, there is no restriction on the purchase or sale of the securities abroad by residents of the Republic of Turkey. **Poland:** Distributed by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce. Where an analyst of UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce. **Russia:** Prepared and distributed by UBS Bank (OOO). Should not be construed as an individual Investment Recommendation for the purpose of the Russian Law - Federal Law #39-FZ ON THE SECURITIES MARKET Articles 6.1-6.2.**Switzerland:** Distributed by UBS AG to persons who are institutional investors only. UBS AG is regulated by the Swiss Financial Market Supervisory Authority (FINMA). **Italy:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Italy Branch. Where an analyst of UBS Europe SE, Italy Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Italy Branch. **France:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, France Branch. Where an analyst of UBS Europe SE, France Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, France Branch. **Spain:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Spain Branch. Where an analyst of UBS Europe SE, Spain Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Spain Branch. **Sweden:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Sweden Branch. Where an analyst of UBS Europe SE, Sweden Branch has contributed to this document, the document is also deemed to have been prepared by UBS Europe SE, Sweden Branch. **South Africa:** Distributed by UBS South Africa (Pty) Limited (Registration No. 1995/011140/07), an authorised user of the JSE and an authorised Financial Services Provider (FSP 7328). **Saudi Arabia:** This document has been issued by UBS AG (and/or any of its subsidiaries, branches or affiliates), a public company limited by shares, incorporated in Switzerland with its registered offices at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH-8001 Zurich. This publication has been approved by UBS Saudi Arabia (a subsidiary of UBS AG), a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia under commercial register number 1010257812 having its registered office at Tatweer Towers, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. **UAE / Dubai:** The information distributed by UBS AG Dubai Branch is only intended for Professional Clients and/or Market Counterparties, as classified under the DFSA rulebook. No other person should act upon this material/communication. The information is not for further distribution within the United Arab Emirates. UBS AG Dubai Branch is regulated by the DFSA in the DIFC. UBS is not licensed to provide banking services in the UAE by the Central Bank of the UAE, nor is it licensed by the UAE Securities and Commodities Authority. **Israel:** This Material is distributed by UBS AG, London Branch. UBS Securities Israel Ltd is a licensed Investment Marketer that is supervised by the Israel Securities Authority (ISA). UBS AG, London Branch and its affiliates incorporated outside Israel are not licensed under the Israeli Advisory Law. UBS may engage among others in issuance of Financial Assets or in distribution of Financial Assets of other issuers for fees or other benefits. UBS AG, London Branch and its affiliates may prefer various Financial Assets to which they have or may have an Affiliation (as such term is defined under the Israeli Advisory Law). Nothing in this Material should be considered as investment advice under the Israeli Advisory Law. This Material is being issued only to and/or is directed only at persons who are Eligible Clients within the meaning of the Israeli Advisory Law, and this Material must not be furnished to, relied on or acted upon by any other persons. **United States:** Distributed to US persons by either UBS Securities LLC or by UBS Financial Services Inc., subsidiaries of UBS AG; or by a group, subsidiary or affiliate of UBS AG that is not registered as a US broker-dealer (a **'non-US affiliate'**) to major US institutional investors only. UBS Securities LLC or UBS Financial Services Inc. accepts responsibility for the content of a report prepared by another non-US affiliate when distributed to US persons by UBS Securities LLC or UBS Financial Services Inc. All transactions by a US person in the securities mentioned in this report must be effected through UBS Securities LLC or UBS Financial Services Inc., and not through a non-US affiliate. UBS Securities LLC is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule"), and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule. **Canada:** Distributed by UBS Securities Canada Inc., a registered investment dealer in Canada

and a Member-Canadian Investor Protection Fund, or by another affiliate of UBS AG that is registered to conduct business in Canada or is otherwise exempt from registration. **Brazil:** Except as otherwise specified herein, this Material is prepared by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. (UBS BB CCTVM) to persons who are eligible investors residing in Brazil, which are considered to be Professional Investors (Investidores Profissionais), as designated by the applicable regulation, mainly the CVM Resolution No. 30 from the 11th of May 2021 (determines the duty to verify the suitability of products, services and transactions with regards to the client´s profile). UBS BB CCTVM is a subsidiary of UBS BB Servicos de Assessoria Financeira e Participacoes S.A. ("UBS BB"). UBS BB is an association between UBS AG and Banco do Brasil (through its subsidiary BB – Banco de Investimentos S.A.), of which UBS AG is the majority owner and which provides investment banking services and coverage in Brazil, Argentina, Chile, Paraguay, Peru and Uruguay. UBS BB CCTVM is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman: 0800-940-0266/ https://www.ubs.com/br/pt/ubsbb-investment-bank/ombudsman.html. UBS may hold relevant financial and commercial interest in relation to the company subject to this Research report. **Hong Kong:** Distributed by UBS Securities Asia Limited. Please contact local licensed persons of UBS Securities Asia Limited in respect of any matters arising from, or in connection with, the analysis or document **Singapore:** Distributed by UBS Securities Pte. Ltd. [Co. Reg. No.: 198500648C] or UBS AG, Singapore Branch. Please contact UBS Securities Pte. Ltd., an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110); or UBS AG, Singapore Branch, an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110) and a wholesale bank licensed under the Singapore Banking Act (Cap. 19) regulated by the Monetary Authority of Singapore, in respect of any matters arising from, or in connection with, the analysis or document. The recipients of this document represent and warrant that they are accredited and institutional investors as defined in the Securities and Futures Act (Cap. 289). **Japan:** Distributed by UBS Securities Japan Co., Ltd. to professional investors (except as otherwise permitted). Where this report has been prepared by UBS Securities Japan Co., Ltd., UBS Securities Japan Co., Ltd. is the author, publisher and distributor of the report. Distributed by UBS AG, Tokyo Branch to Professional Investors (except as otherwise permitted) in relation to foreign exchange and other banking businesses when relevant. **Australia:** Recipients through a superannuation fund: Distributed by UBS AG, Australia Branch (ABN 47 088 129 613 and holder of Australian Financial Service Licence No. 231087). For all other recipients: Distributed by UBS Securities Australia Limited (ABN 62 008 586 481 and holder of Australian Financial Services Licence No. 231098). This document contains general information and/or general advice only and does not constitute personal financial product advice. As such, the Information in this document has been prepared without taking into account any investor's objectives, financial situation or needs, and investors should, before acting on the Information, consider the appropriateness of the Information, having regard to their objectives, financial situation and needs. If the Information contained in this document relates to the acquisition, or potential acquisition of a particular financial product by a 'Retail' client as defined by section 761G of the Corporations Act 2001 where a Product Disclosure Statement would be required, the retail client should obtain and consider the Product Disclosure Statement relating to the product before making any decision about whether to acquire the product. **New Zealand:** Distributed by UBS New Zealand Ltd. UBS New Zealand Ltd is not a registered bank in New Zealand. You are being provided with this publication or material because you have indicated to UBS that you are a "wholesale client" within the meaning of clause 4 of schedule 5 of the Financial Markets Conduct Act 2013 of New Zealand (Permitted Client). This publication or material is not intended for clients who are not Permitted Clients (non-permitted Clients). If you are a non-permitted Client you must not rely on this publication or material. If despite this warning you nevertheless rely on this publication or material, you hereby (i) acknowledge that you may not rely on the content of this publication or material and that any recommendations or opinions in such this publication or material are not made or provided to you, and (ii) to the maximum extent permitted by law (a) indemnify UBS and its associates or related entities (and their respective Directors, officers, agents and Advisors) (each a 'Relevant Person') for any loss, damage, liability or claim any of them may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or material and (b) waive any rights or remedies you may have against any Relevant Person for (or in respect of) any loss, damage, liability or claim you may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or material. **Korea:** Distributed in Korea by UBS Securities Pte. Ltd., Seoul Branch. This report may have been edited or contributed to from time to time by affiliates of UBS Securities Pte. Ltd., Seoul Branch. This material is intended for professional/institutional clients only and not for distribution to any retail clients. **Malaysia:** This material is authorized to be distributed in Malaysia by UBS Securities Malaysia Sdn. Bhd (Capital Markets Services License No.: CMSL/A0063/2007). This material is intended for professional/institutional clients only and not for distribution to any retail clients. **India:** Distributed by UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) Unit 2901, Level 29 Altimus, Pandurang Budhkar Road, Worli, Mumbai – 400 018. It provides brokerage services bearing SEBI Registration Number: INZ000259830; Merchant Banking services bearing SEBI Registration Number: INM000013101; and Research Analyst services bearing SEBI Registration Number: INH000001204. Name of Compliance Officer Mr. Parameshwaran Shivaramakrishnan, Phone : +912261556151, Email : parameshwaran.s@ubs.com, Name of Grievance Officer Parameshwaran Shivaramakrishnan, Phone : +912261556151, Email: ol-ubs-sec-compliance@ubs.com Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS may have debt holdings or positions in the subject Indian company/companies. UBS may have financial interests (e.g. loan/derivative products, rights to or interests in investments, etc.) in the subject Indian company / companies from time to time. Within the past 12 months, UBS may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS during the 12 months preceding the date of distribution of the research report with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html The Research Annual Compliance Report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under Research tab. **Taiwan:** Except as otherwise specified herein, this material may not be distributed in Taiwan. Information and material on securities/instruments that are traded in a Taiwan organized exchange is deemed to be issued and distributed by UBS Securities Pte. LTD., Taipei Branch to professional institutional investors and/or persons permitted under applicable regulation. Unless permitted by applicable Taiwan laws and regulations, this material is for reference and information only and should not constitute "recommendation" to clients or recipients in Taiwan for the covered companies or any companies mentioned in this document. No portion of the document may be reprinted, reproduced or quoted by the press or any other person without authorisation from UBS. **Indonesia:** This report is being distributed by PT UBS Sekuritas Indonesia and is delivered by its licensed employee(s), including marketing/sales person, to its client. PT UBS Sekuritas Indonesia, having its registered office at Sequis Tower Level 22 unit 22-1,Jl.Jend. Sudirman, kav.71, SCBD lot 11B, Jakarta 12190. Indonesia, is a subsidiary company of UBS AG and licensed under Capital Market Law no. 8 year 1995, a holder of broker-dealer and underwriter licenses issued by the Capital Market and Financial Institution Supervisory Agency (now Otoritas Jasa Keuangan/OJK). PT UBS Sekuritas Indonesia is also a member of Indonesia Stock Exchange and supervised by Otoritas Jasa Keuangan (OJK). Neither this report nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This report is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstance which constitutes an offering within the meaning of Indonesian capital market laws and regulations.

The disclosures contained in research documents produced by UBS AG, London Branch or UBS Europe SE shall be governed by and construed in accordance with English law.

UBS specifically prohibits the redistribution of this document in whole or in part without the written permission of UBS and in any event UBS accepts no liability whatsoever for any redistribution of this document or its contents or the actions of third parties in this respect. Images may depict objects or elements that are protected by third party copyright, trademarks and other intellectual property rights. © UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

Global Wealth Management Disclaimer

You receive this document in your capacity as a client of UBS Global Wealth Management. This publication has been distributed to you by UBS Switzerland AG (regulated by FINMA in Switzerland) or its affiliates (**"UBS"**) with whom you have a banking relationship with. The full name of the distributing affiliate and its competent authority can be found in the country-specific disclaimer at the end of this document. UBS may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The date and time of the first dissemination of this publication is the same as the date and time of its publication.

Risk information:

You agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research, and that you shall not extract data from any research or estimates, without the prior written consent of UBS.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is **for your information only**; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, derivative products and futures are not suitable for all investors, and trading in these instruments is considered risky. Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may

adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the information (as defined below).

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any opinions expressed in this document may change without notice and may differ or be contrary to opinions expressed by other business areas or groups, personnel or other representative of UBS. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes: (i) valuation or accounting purposes; (ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or (iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS (including between Global Wealth Management and UBS Global Research) and among its subsidiaries, branches and affiliates. For further information on the ways in which UBS manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS research recommendations, please visit https://www.ubs.com/research-methodology.

Research will initiate, update and cease coverage solely at the discretion of research management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. Different assumptions could result in materially different results.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS's subsidiaries, branches and affiliates as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS AG, its affiliates or subsidiaries (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms in the UK) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Options and futures are not suitable for all investors, and trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "Characteristics and Risks of Standardized Options". You may read the document at https://www.theocc.com/about/publications/character-risks.jsp or ask your financial advisor for a copy.

Investing in structured investments involves significant risks. For a detailed discussion of the risks involved in investing in any particular structured investment, you must read the relevant offering materials for that investment. Structured investments are unsecured obligations of a particular issuer with returns linked to the performance of an underlying asset. Depending on the terms of the investment, investors could lose all or a substantial portion of their investment based on the performance of the underlying asset. Investors could also lose their entire investment if the issuer becomes insolvent. UBS does not guarantee in any way the obligations or the financial condition of any issuer or the accuracy of any financial information provided by any issuer. Structured investments are not traditional investments and investing in a structured investment is not equivalent to investing directly in the underlying asset. Structured investments may have limited or no liquidity, and investors should be prepared to hold their investment to maturity. The return of structured investments may be limited by a maximum gain, participation rate or other feature. Structured investments may include call features and, if a structured investment is called early, investors would not earn any further return and may not be able to reinvest in similar investments with similar terms. Structured investments include costs and fees which are generally embedded in the price of the investment. The tax treatment of a structured investment may be complex and may differ from a direct investment in the underlying asset. UBS and its employees do not provide tax advice. Investors should consult their own tax advisor about their own tax situation before investing in any securities.

Important Information About Sustainable Investing Strategies: Sustainable investing strategies aim to consider and incorporate environmental, social and governance (ESG) factors into investment process and portfolio construction. Strategies across geographies approach ESG analysis and incorporate the findings in a variety of ways. Incorporating ESG factors or sustainable investing considerations may inhibit the portfolio manager's ability to participate in certain investment opportunities that otherwise would be consistent with its investment objective and other principal investment strategies. The returns on a portfolio incorporating ESG factors or sustainable investing considerations may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered by the portfolio manager, and the investment opportunities available to such portfolios may differ.

Within the past 12 months UBS Switzerland AG, its affiliates or subsidiaries may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Disclosures: If you require detailed information on disclosures of interest or conflict of interest as required by Market Abuse Regulation please contact the mailbox MAR_disclosure_twopager@ubs.com. Please note that e-mail communication is unsecured.

External Asset Managers / External Financial Consultants: In case this research or publication is provided to an External Asset Manager or an External Financial Consultant, UBS expressly prohibits that it is redistributed by the External Asset Manager or the External Financial Consultant and is made available to their clients and/or third parties.

Argentina: All securities that will be offered to you by UBS are not authorized by the Argentine Securities and Exchange Commission (CNV) and are not subject to its reporting, periodic information requirements, or oversight. Furthermore, the CNV has not reviewed or endorsed the information provided in any securities offering document, nor the accuracy of any accounting, financial, economic data, or any other information disclosed therein, which remains the sole responsibility of the respective issuer and the other parties involved. **Australia:** This document is provided by UBS Switzerland AG. UBS Switzerland AG does not hold an Australian Financial Services Licence (AFSL) and relies on an exemption to provide financial services to persons in Australia. This document is intended only for distribution to wholesale clients under the Corporations Act 2001 (Cth). UBS Switzerland AG is a related body corporate of UBS AG, Australia Branch and UBS Securities Australia Limited. This document may be distributed to clients by those entities, but it is provided by UBS Switzerland AG and is not provided under any of the other entities' AFSL. The information in this document is general in nature and is not intended to address the objectives, financial situation or needs of any particular individual or entity. Each recipient should consider their own objectives, financial situation or needs before acting on the advice and obtain the relevant Product Disclosure Statement (if required) before making any decision whether to acquire any product. In Australia, UBS entities, other than UBS AG, Australia Branch, are not authorized deposit-taking institutions for the purposes of the Banking Act 1959 (Cth.) and their obligations do not represent deposits or other liabilities of UBS AG, Australia Branch. UBS AG, Australia Branch does not guarantee or otherwise provide assurance in respect of the obligations of such UBS entities or the funds. An investor is exposed to investment risk including possible delays in repayment and loss of income and principal invested, as relevant. If you do not wish to receive marketing materials from UBS, please contact your UBS representative or the contact details listed in the Australia Privacy Notice: https://www.ubs.com/global/en/legal/privacy.html. Your personal data will be processed in accordance with this notice. **Bahrain**: This report is being distributed by UBS AG, Bahrain Branch, duly licensed and regulated by the Central Bank of Bahrain (CBB) as an Investment Business Firm - Category 2 (Branch). Related financial services or products are only made available to Accredited Investors, as defined by the CBB, and are not intended for any other persons. UBS AG, Bahrain Branch is

a Foreign Branch of UBS AG, Zurich/Switzerland and is located on Level 21, East Tower, Bahrain World Trade Centre, Manama, Kingdom of Bahrain. **Brazil**: This report is distributed in Brazil by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. or its affiliates ("UBS"). Pursuant to CVM Resolution No. 20/2021, of February 25, 2021, the author(s) of the report hereby certify(ies) that the views expressed in this report solely and exclusively reflect their personal opinions and have been prepared independently, including with respect to UBS. Part of the author(s)'s compensation is based on various factors, including the total revenues of the relevant UBS Group entity of which they are in employment of, but no part of the compensation has been, is, or will be related to the specific recommendations or views expressed in this report. In addition, UBS declares that: UBS has provided, and/or may in the future provide investment banking, brokerage, asset management, commercial banking and other financial services to the subject company/companies or its affiliates, for which they have received or may receive customary fees and commissions, and which constituted or may constitute relevant financial or commercial interests in relation to the subject company/companies or the subject securities. **Canada**: The information contained herein is not, and under no circumstances is to be construed as, a prospectus, an advertisement, a public offering, an offer to sell securities described herein, solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. Under no circumstances is the information contained herein to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada or, alternatively, pursuant to a dealer registration exemption. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed upon these materials, the information contained herein or the merits of the securities described herein and any representation to the contrary is an offence. In Canada, this publication is distributed by UBS Investment Management Canada Inc. **China**: This report and any offering material such as term sheet, research report, other product or service documentation or any other information (the "Material") sent with this report was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the material erroneously, UBS asks that you kindly delete it and inform UBS immediately. This report is prepared by UBS Switzerland AG or its offshore subsidiary or affiliate (collectively as "UBS Offshore"). UBS Offshore is an entity incorporated out of China and is not licensed, supervised or regulated in China to carry out banking or securities business. The recipient should not contact the analysts or UBS Offshore which produced this report for advice as they are not licensed to provide securities investment advice in China. UBS Investment Bank (including Research) has its own wholly independent research and views which at times may vary from the views of UBS Global Wealth Management. The recipient should not use this document or otherwise rely on any of the information contained in this report in making investment decisions and UBS takes no responsibility in this regard. **Denmark**: This publication is not intended to constitute a public offer under Danish law. It is distributed only for information purposes to clients of UBS Europe SE, Denmark Branch, filial af UBS Europe SE, with place of business at Sankt Annae Plads 13, 1250 Copenhagen, Denmark, registered with the Danish Commerce and Companies Agency, under No. 38 17 24 33. UBS Europe SE, Denmark Branch, filial af UBS Europe SE is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Danish Financial Supervisory Authority (Finanstilsynet), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Egypt**: Securities or other investment products are not being offered or sold by UBS to the public in Egypt and they have not been and will not be registered with the Egyptian Financial Regulatory Authority (FRA). **France**: This publication is not intended to constitute a public offer under French law, it does not constitute a personal recommendation as it is distributed only for information purposes to clients of UBS Europe SE Succursale de France (a branch of UBS Europe SE), having its registered office at 39, rue du Colisée, 75008 Paris, France, registered with the "Registre du Commerce et des Sociétés" of Paris under N°844 425 629. UBS Europe SE Succursale de France is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the French "Autorité de contrôle prudentiel et de résolution" and "Autorité des marchés financiers", to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Germany**: This publication is not intended to constitute a public offer under German law. It is distributed only for information purposes to clients of UBS Europe SE, Germany, with place of business at Bockenheimer Landstrasse 2-4, 60306 Frankfurt am Main. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and supervised jointly by the European Central Bank, the German Central Bank (Deutsche Bundesbank) and BaFin, to which this publication has not been submitted for approval. **Hong Kong SAR**: This publication is distributed to clients of UBS AG Hong Kong Branch by UBS AG Hong Kong Branch, a licensed bank under the Hong Kong Banking Ordinance and a registered institution under the Securities and Futures Ordinance. UBS AG Hong Kong Branch is incorporated in Switzerland with limited liability. The contents of this material have not been reviewed by any regulatory authority in Hong Kong. **India**: UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) 2/F, 3 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai (India) 400051. Phone: +912261556000. It provides brokerage services bearing SEBI Registration Number: INZ000259830; Merchant Banking services bearing SEBI Registration Number: INM000013101 and Research Analyst services bearing SEBI Registration Number: INH000001204. Name of Compliance Officer Mr. Parameshwaran Shivaramakrishnan, Phone: +912261556151, Email: parameshwaran.s@ubs.com, Name of Grievance Officer Parameshwaran Shivaramakrishnan, Phone: +912261556151, Email: ol-ubs-sec-compliance@ubs.com. Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS AG, its affiliates or subsidiaries may have debt holdings or positions in the subject Indian company/companies. UBS AG, its affiliates or subsidiaries may have financial interests (e.g. loan/derivative products, rights to or interests in investments, etc.) in the subject Indian company/companies from time to time. Within the past 12 months, UBS AG, its affiliates or subsidiaries may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS AG, its affiliates or subsidiaries during the 12 months preceding the date of distribution of the research report with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html. The Research Annual Compliance report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under Research tab. **Indonesia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed without the consent of UBS. None of the Material has been registered or filed under the prevailing laws and with any financial or regulatory authority in your jurisdiction. The Material may not have been approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including futures contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Israel**: UBS is a premier global financial firm offering wealth management, asset management and investment banking services from its headquarters in Switzerland and its operations in over 50 countries worldwide to individual, corporate and institutional investors. This publication is intended for information only and is not intended as an offer to buy or solicitation of an offer. Furthermore, this publication is not intended as an investment advice. Nothing contrary to the above, no action has been, or will be, taken in Israel that would permit an offering of the product(s) mentioned in this document or a distribution of this document to the public in Israel. In particular, this document has not been reviewed or approved by the Israeli Securities Authority. The product(s) mentioned in this document is/are being offered to a limited number of sophisticated investors who qualify as one of the investors listed in the first supplement to the Israeli Securities Law, 5728-1968. This document may not be reproduced or used for any other purpose, nor be furnished to any other person other than those to whom copies have been sent. Anyone who purchases the product(s) mentioned herein shall do so for its own benefit and for its own account and not with the aim or intention of distributing or offering the product(s) to other parties. Anyone who purchases the product(s) shall do so in accordance with its own understanding and discretion and after it has received any relevant financial, legal, business, tax or other advice or opinion required by it in connection with such purchase(s). The word "advice" and/or any of its equivalent terms shall be read and construed in conjunction with the definition of the term "investment marketing" as defined under the Israeli Regulation of Investment Advice, Investment Marketing and Portfolio Management Law. The Swiss laws and regulations require a number of mandatory disclosures to be made in independent financial research reports or recommendations. Pursuant to the Swiss Financial Market Infrastructure Act and the Financial Market Infrastructure Ordinance-FINMA, banks must disclose the percentage of voting rights they hold in companies being researched, if these holdings are equal to or exceed the statutory thresholds. In addition, the Directives on the Independence of Financial Research, issued by the Swiss Bankers Association, mandate a number of disclosures, including the disclosure of potential conflicts of interest, the participation within previous 12 months in any securities issues on behalf of the company being researched, as well as the fact that remuneration paid to the financial analysts is based generally upon the performance of (i) the new issues department or investment banking; or (ii) securities trading performance (including proprietary trading) or sales. **Italy**: This publication is not intended to constitute a public offer under Italian law. It is distributed only for information purposes to clients of UBS Europe SE, Succursale Italia, with place of business at Via del Vecchio Politecnico, 3-20121 Milano. UBS Europe SE, Succursale Italia is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Bank of Italy (Banca d'Italia) and the Italian Financial Markets Supervisory Authority (CONSOB - Commissione Nazionale per le Società e la Borsa), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Japan**: This report is solely distributed in Japan by UBS SuMi TRUST Wealth Management Co., Ltd, Financial Instruments Dealer, Director-General of Kanto Local Finance Bureau (Kinsho) No. 3233, a member of the Japan Securities Dealers Association, Financial Futures Association of Japan, Investment Management Association of Japan. UBS SuMi TRUST Wealth Management Co., Ltd will not distribute or

forward this report outside Japan. **Jersey**: UBS AG, Jersey Branch, is regulated and authorized by the Jersey Financial Services Commission for the conduct of banking, funds and investment business. Where services are provided from outside Jersey, they will not be covered by the Jersey regulatory regime. UBS AG, Jersey Branch is a branch of UBS AG a public company limited by shares, incorporated in Switzerland whose registered offices are at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH 8001 Zurich. UBS AG, Jersey Branch's principal place of business is 1, IFC Jersey, St Helier, Jersey, JE2 3BX. **Luxembourg**: This publication is not intended to constitute a public offer under Luxembourg law. It is distributed only for information purposes to clients of UBS Europe SE, Luxembourg Branch ("UBS Luxembourg"), R.C.S. Luxembourg n° B209123, with registered office at 33A, Avenue J. F. Kennedy, L-1855 Luxembourg. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and subject to the joint prudential supervision of BaFin, the European Central Bank and the central bank of Germany (Deutsche Bundesbank). UBS Luxembourg is furthermore supervised by the Luxembourg prudential supervisory authority (Commission de Surveillance du Secteur Financier), in its role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Malaysia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Mexico**: This information is distributed by UBS Asesores México, S.A. de C.V. ("UBS Asesores"), an affiliate of UBS Switzerland AG, incorporated as a non-independent investment advisor under the Mexican regulation due to the relation with a Foreign Bank. UBS Asesores is registered under number 30060-001-(14115)-21/06/2016 and subject to the supervision of the Mexican Banking and Securities Commission ("CNBV") exclusively regarding the rendering of (i) portfolio management services, (ii) securities investment advisory services, analysis and issuance of individual investment recommendations, and (iii) anti-money laundering and terrorism financing matters. This UBS publication or any material related thereto is addressed only to Sophisticated or Institutional Investors located in Mexico. Research reports only reflect the views of the analysts responsible for the report. The compensation of the analyst(s) who prepared this report is determined exclusively by research management and senior management of any entity of UBS Group to which such analyst(s) render(s) services. **Monaco**: This document is not intended to constitute a public offering or a comparable solicitation under the Principality of Monaco laws, but might be made available for information purposes to clients of UBS (Monaco) S.A., a regulated bank having its registered office at 2 avenue de Grande Bretagne 98000 Monaco operating under a banking license granted by the "Autorité de Contrôle Prudentiel et de Résolution" (ACPR) and the Monegasque government which authorizes the provision of banking services in Monaco. UBS (Monaco) S.A. is also licensed by the "Commission de Contrôle des Activités Financières" (CCAF) to provide investment services in Monaco. The latter has not approved this publication. **Philippines:** This communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Portugal**: UBS Switzerland AG is not licensed to conduct banking and financial activities in Portugal nor is UBS Switzerland AG supervised by the portuguese regulators (Bank of Portugal "Banco de Portugal" and Portuguese Securities Exchange Commission "Comissão do Mercado de Valores Mobiliários"). **Qatar**: UBS Qatar LLC is licensed by the Qatar Financial Centre Authority and authorized by the QFC Regulatory Authority, with QFC no. 01169, and has its registered office at Building No. 36, 4th Floor, Abdulla Bin Thani Street, Doha Design District 1, Msheireb Downtown Doha, State of Qatar. This material is strictly intended for Eligible Counterparties and/or Business Customers only as classified under the QFCRA's Customer and Investor Protection Rules 2019. No other person should act upon this material. **Russia**: This document or information contained therein is for information purposes only and constitutes neither a public nor a private offering, is not an invitation to make offers, to sell, exchange or otherwise transfer any financial instruments in the Russian Federation to or for the benefit of any Russian person or entity and does not constitute an advertisement or offering of securities in the Russian Federation within the meaning of Russian securities laws. The information contained herein is not an "individual investment recommendation" as defined in Federal Law of 22 April 1996 No 39-FZ "On Securities Market" (as amended) and the financial instruments and operations specified herein may not be suitable for your investment profile or your investment goals or expectations. The determination of whether or not such financial instruments and operations are in your interests or are suitable for your investment goals, investment horizon or the acceptable risk level is your responsibility. We assume no liability for any losses connected with making any such operations or investing into any such financial instruments and we do not recommend to use such information as the only source of information for making an investment decision. **Saudi Arabia**: This material is for marketing and information purposes by UBS Saudi Arabia only. It has been distributed by UBS Saudi Arabia or reviewed and approved by UBS Saudi Arabia if it was issued by UBS Switzerland AG, by UBS AG, or any of its subsidiaries or branches. UBS Switzerland AG is a public company limited by shares, incorporated in Switzerland with its registered offices at Bahnhofstrasse 45, CH-8001 Zurich. UBS Saudi Arabia (a subsidiary of UBS AG) is a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia with a paid capital of 110,000,000 Saudi Riyals under commercial register number 1010257812 having its registered office at Laysen Valley, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. This document is distributed only under such circumstances as may be permitted by applicable laws and regulations. The information and – if any - opinions contained in this document have been compiled or arrived at based upon information obtained from sources believed to be reliable and in good faith, but is not guaranteed as being accurate, nor is it a complete statement or summary of the securities, markets or developments referred to in the document. All such information and opinions are subject to changes without notice. Past performance of investments (whether simulated or actual) is not necessarily an indicator of future results. Forward looking data is based on estimates that are subject to changes. Should the currency of a financial product or service not match your reference currency, performance may rise or fall due to currency fluctuations. UBS Switzerland AG and / or other members of the UBS Group may have a position in and may make a purchase and/or sale of any of the securities or other financial instruments mentioned in this document While statements that constitute "forward-looking statements", including, but not limited to, statements relating to our future business development represent UBS judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors could cause actual developments and results to differ materially from our expectations. This document may not be forwarded, reproduced, redistributed or republished for any purpose without the written permission of UBS Saudi Arabia. Source for all data and charts (if not indicated otherwise) is UBS Switzerland AG. **Singapore**: Where applicable, this material is distributed in Singapore by UBS AG, Singapore Branch, which is licensed by the Monetary Authority of Singapore under the Banking Act 1970 to carry on banking business. UBS AG is incorporated in Switzerland with limited liability. UBS AG has a branch registered in Singapore (UEN S98FC5560C). This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (each as defined under the Financial Advisers Regulations (the "FAR")) only. By virtue of your status as an institutional investor, accredited investor, or expert investor, UBS AG is exempted from complying with certain requirements under the Financial Advisers Act 2001 (the "FAA"), the FAR and the relevant Notices and Guidelines issued thereunder, in respect of any financial advisory service which UBS AG may provide to you. These include exemptions from complying with: Section 34 of the FAA (pursuant to Regulation 33(1) of the FAR); Section 36 of the FAA (pursuant to Regulation 34(1) of the FAR); and Section 45 of the FAA (pursuant to Regulation 35(1) of the FAR). Singapore recipients and clients of UBS AG, Singapore Branch should contact UBS AG, Singapore Branch for any matters arising from, or in connection with, this material. Where applicable, this communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved or endorsed by any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Spain:** This report is distributed in Spain by UBS AG, Sucursal en España, authorized under number 1460 in the Register by the Banco de España. **Sweden**: This publication is not intended to constitute a public offer under Swedish law. It is distributed only for information purposes to clients of UBS Europe SE, Sweden Bankfilial, with place of business at Regeringsgatan 38, 11153 Stockholm, Sweden, registered

with the Swedish Companies Registration Office under Reg. No 516406-1011. UBS Europe SE, Sweden Bankfilial is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Swedish supervisory authority (Finansinspektionen), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Taiwan**: This material is provided by UBS AG, Taipei Branch in accordance with laws of Taiwan, in agreement with or at the request of clients/prospects. **Thailand**: This communication and any offering material, term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication were done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Türkiye**: The information in this document is not provided for the purpose of offering, marketing or sale of any capital market instrument or service in the Republic of Türkiye. Therefore, this document may not be considered as an offer made, or to be made, to residents of the Republic of Türkiye in the Republic of Türkiye. UBS Switzerland AG is not licensed by the Capital Markets Board of Türkiye (the CMB) under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instrument/service may be utilized in connection with providing any capital market services to persons within the Republic of Türkiye without the prior approval of the CMB. However, according to article 15 (d) (ii) of the Decree No. 32 residents of the Republic of Türkiye are allowed to purchase or sell the financial instruments traded in financial markets outside of the Republic of Türkiye. Further to this, pursuant to article 9 of the Communiqué on Principles Regarding Investment Services, Activities and Ancillary Services No. III-37.1, investment services provided abroad to residents of the Republic of Türkiye based on their own initiative are not restricted. **United Arab Emirates (UAE) / DIFC / Abu Dhabi**: UBS is not licensed in the UAE by the Central Bank of the UAE nor by the Emirates' Securities and Commodities Authority and does not undertake banking activities in the UAE. This document is provided for your information only and does not constitute financial advice. **DIFC**: UBS AG Dubai Branch is regulated by the DFSA in the DIFC. This material is strictly intended for Professional Clients and/or Market Counterparties only as classified under the DFSA rulebook. It should not be distributed to Retail Clients. The Investment Research is provided for information purposes only and is not a recommendation or offer to buy/sell/hold a particular investment. The investment research may be out of date. You should seek investment advice before acting on the basis of the Investment Research. **Abu Dhabi**: UBS AG Abu Dhabi Branch is licensed and regulated by the Financial Services Regulatory Authority ("FSRA") of the Abu Dhabi Global Market. This material is intended solely for professional clients or market counterparties, as defined in the rules of the FSRA. It is not directed at, nor intended for, retail clients or any person who does not meet the criteria of a professional client or market counterparty. **United Kingdom**: This document is issued by UBS Wealth Management, a division of UBS AG which is authorised and regulated by the Financial Market Supervisory Authority in Switzerland. In the United Kingdom, UBS AG is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of regulation by the Prudential Regulation Authority are available from us on request. A member of the London Stock Exchange. This publication is distributed to retail clients of UBS Wealth Management. **Ukraine**: UBS is a premier global financial services firm offering wealth management services to individual, corporate and institutional investors. UBS is established in Switzerland and operates under Swiss law and in over 50 countries and from all major financial centers. UBS is not registered and licensed as a bank/financial institution under Ukrainian legislation and does not provide banking and other financial services in Ukraine. UBS has not made, and will not make, any offer of the mentioned products to the public in Ukraine. No action has been taken to authorize an offer of the mentioned products to the public in Ukraine and the distribution of this document shall not constitute financial services for the purposes of the Law of Ukraine "On Financial Services and Financial Companies" dated 14 December 2021. Any offer of the mentioned products shall not constitute an investment advice, public offer, circulation, transfer, safekeeping, holding or custody of securities in the territory of Ukraine. Accordingly, nothing in this document or any other document, information or communication related to the mentioned products shall be interpreted as containing an offer, a public offer or invitation to offer or to a public offer, or solicitation of securities in the territory of Ukraine or investment advice under Ukrainian law. Electronic communication must not be considered as an offer to enter into an electronic agreement or other electronic instrument within the meaning of the Law of Ukraine "On Electronic Commerce" dated 3 September 2015. This document is strictly for private use by its holder and may not be passed on to third parties or otherwise publicly distributed. **USA**: Distributed to US persons only by UBS Financial Services Inc. or UBS Securities LLC, subsidiaries of UBS AG. UBS Switzerland AG, UBS Europe SE, UBS Bank, S.A., UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A., UBS Asesores México, S.A. de C.V., UBS SuMi TRUST Wealth Management Co., Ltd., UBS Wealth Management Israel Ltd. and UBS Menkul Degerler AS are affiliates of UBS AG. **UBS Financial Services Inc. accepts responsibility for the content of a report prepared by a non-US affiliate when it distributes reports to US persons. All transactions by a US person in the securities mentioned in this report should be effected through a US-registered broker dealer affiliated with UBS, and not through a non-US affiliate. The contents of this report have not been and will not be approved by any securities or investment authority in the United States or elsewhere. UBS Financial Services Inc. is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule") and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule.** For information on the ways in which UBS Securities LLC manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures.

© UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

